Comparative Financial Performance Evaluation of U.S. Banks, 2020–2025

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FIN 432 — Bank Financial Performance

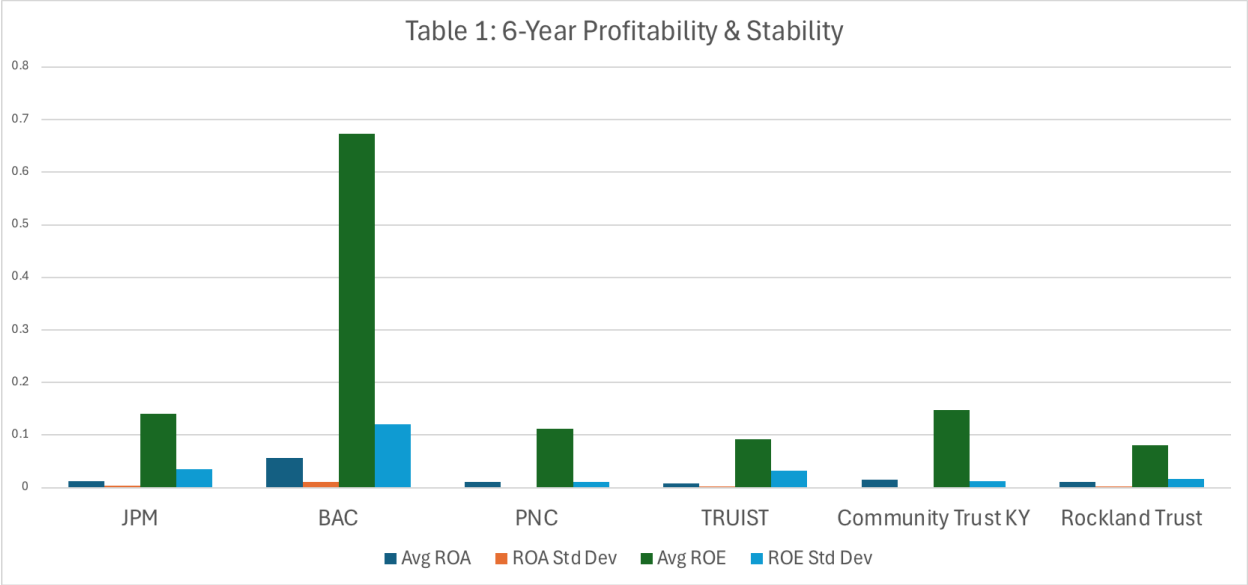
I. Introduction

This report evaluates the financial performance of six U.S. commercial banks across a six-year horizon spanning 2020 through 2025. The institutions are organized into three strategic tiers: money center banks, JPMorgan Chase (JPM) and Bank of America (BAC); super-regional banks, PNC Financial Services (PNC) and Truist Financial (Truist); and community banks, Community Trust Bancorp of Kentucky (Community Trust KY) and Rockland Trust. This tiered classification reflects fundamental differences in asset scale, geographic reach, funding structure, and business model complexity that are expected to manifest in measurable differences in profitability, leverage, and revenue composition.

The analytical framework draws on three structured datasets: a six-year average profitability and stability analysis (Table 1), a 2025 risk and leverage snapshot (Table 2), and a 2025 revenue structure and efficiency summary (Table 3), supplemented by three graphical visualizations of profitability metrics, leverage ratios, and revenue mix. The purpose of this analysis is to assess each institution's financial performance in absolute terms and relative to its peer tier, and to

identify where structural characteristics of bank type correlate with observed financial outcomes. It should be noted that 2020 baseline asset levels, five-year growth trends, market capitalizations, and book values were not available in the provided dataset. Accordingly, size and growth comparisons are not drawn, and no market-based metrics are incorporated into the analysis.

II. Profitability & Stability (Table 1)



Return on Assets: Cross-Tier Comparison

Bank of America reports an average ROA of 5.62% over the six-year period, significantly higher than that of any other institution in the sample. This outlier reading warrants scrutiny: BAC's 2025 net interest income of $238,000 and noninterest income of $1,000 (Table 3) are inconsistent with a consolidated bank holding company of Bank of America's scale, suggesting the

profitability figures may reflect a subsidiary or reporting unit rather than the full consolidated entity. BAC's metrics are therefore noted for completeness but excluded from cross-institutional interpretation. Among the remaining banks, Community Trust KY posts the highest average ROA at 1.48%, followed by JPM at 1.18%, PNC at 1.10%, Rockland Trust at 1.06%, and Truist at 0.86%. The community tier, led by Community Trust KY, demonstrates asset-level earnings efficiency that meets or exceeds that of its larger counterparts, likely reflecting lower overhead costs and the concentrated regional lending markets characteristic of community banking.

Earnings Volatility: ROA and ROE Standard Deviations

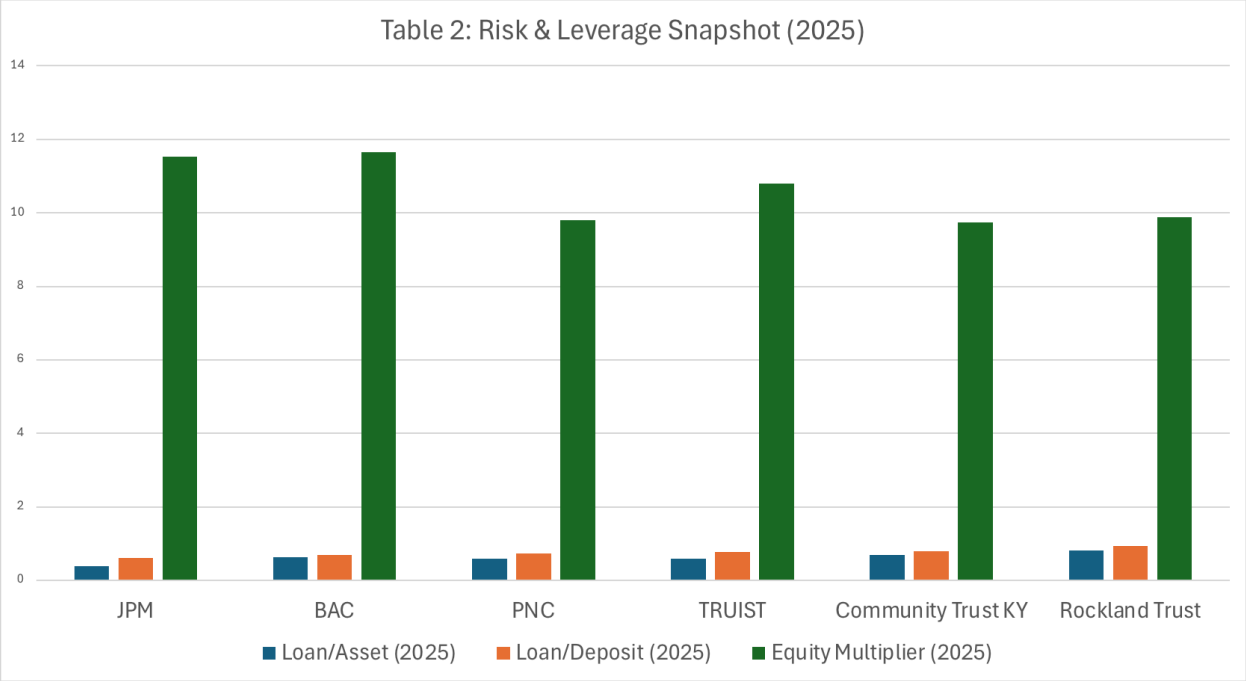
ROA standard deviations reveal meaningful differences in earnings consistency across the sample. PNC exhibits the lowest ROA standard deviation at 0.11%, indicating highly stable asset returns over the 2020–2025 period. Community Trust KY follows with a standard deviation of 0.17%, and Rockland Trust at 0.25%. JPM and Truist show moderate volatility at 0.32% and 0.30%, respectively. These figures suggest that super-regional PNC and community-tier Community Trust KY operated with the most disciplined earnings profiles across the period. Truist's ROA standard deviation of 0.30% may partially reflect integration costs associated with the 2019 BB&T-SunTrust merger, which continued to affect reported performance through the early years of the analysis window.

Return on Equity and the Leverage Effect

Setting aside BAC's anomalous ROE of 67.35%, the remaining institutions produce six-year average ROEs ranging from 8.09% (Rockland Trust) to 14.75% (Community Trust KY). JPM's average ROE of 14.10% and Community Trust KY's 14.75% are the two highest within the reliable subset, suggesting that both institutions generated meaningful shareholder returns on a

sustained basis. Truist's average ROE of 9.17% and Rockland Trust's 8.09% are the weakest, reflecting a combination of lower asset returns and, in Truist's case, post-merger earnings dilution. ROE standard deviations reinforce the stability picture: PNC's ROE standard deviation of 1.14% is the lowest in the sample, followed by Community Trust KY at 1.29% and Rockland Trust at 1.64%, confirming that the most stable earnings profiles are distributed across super-regional and community tiers rather than concentrated in the money center tier.

III. Risk & Leverage Snapshot (Table 2, 2025)



Loan Concentration and Asset Intensity

The loan-to-asset ratio serves as a proxy for balance-sheet composition and business-model orientation. Rockland Trust holds the highest ratio in the sample at 80.92%, meaning that over four-fifths of its asset base is deployed in loans, consistent with a traditional community banking model that relies on net interest income from lending as its primary revenue source. Community

Trust KY follows at 69.39%. In contrast, JPM's loan-to-asset ratio of 37.69% is the lowest among the six institutions, reflecting the diversified asset allocation of money center banks, which hold substantial investment securities, trading assets, and derivatives alongside loan portfolios. BAC's ratio of 62.28% sits meaningfully above JPM's, suggesting a relatively more loan-intensive posture within the money center tier. PNC at 57.84% and Truist at 59.39% occupy the middle ground, consistent with their super-regional classification and mixed business models.

Liquidity Risk: Loan-to-Deposit Ratios

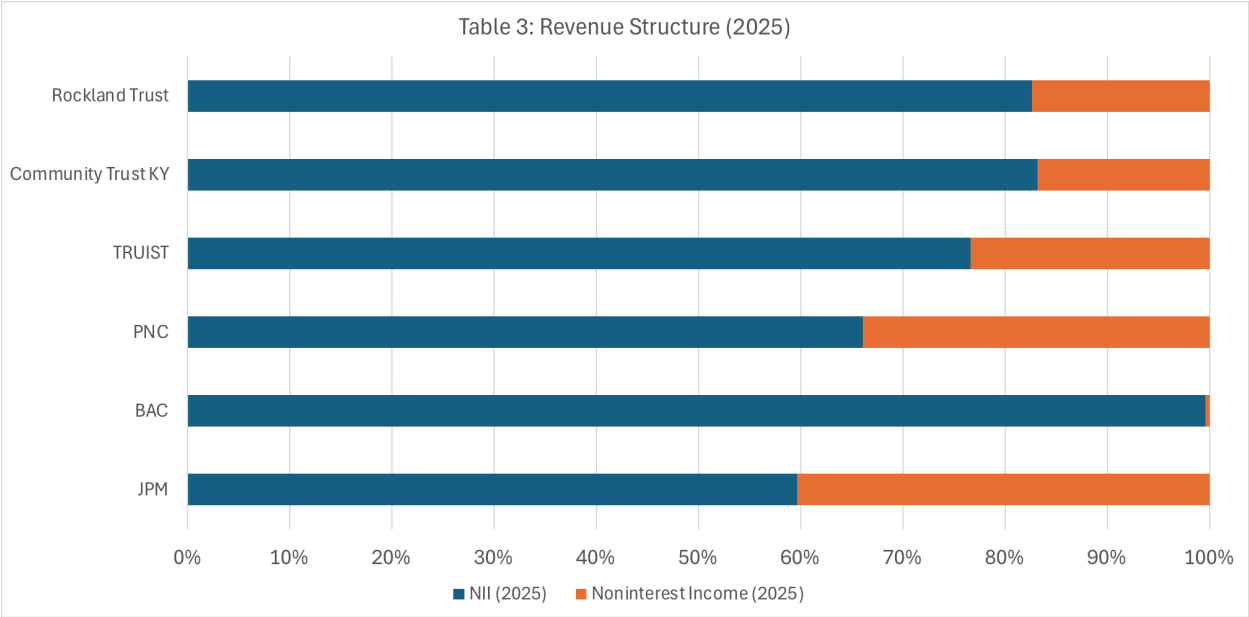
The loan-to-deposit ratio measures the extent to which a bank's loan book is funded by deposit liabilities, with higher values indicating reduced liquidity buffers. Rockland Trust's ratio of 93.49% is the highest in the sample and approaches levels that signal meaningful liquidity concentration risk; even a modest deposit outflow could compress lending capacity. Community Trust KY's ratio of 79.29% is also elevated relative to money center and super-regional peers. JPM maintains the lowest loan-to-deposit ratio at 61.37%, in part because its diversified non-loan asset base reduces the relative weight of loans against its deposit funding. PNC at 73.69% and Truist at 77.18% reflect moderately conservative funding management within the super-regional tier.

Financial Leverage: Equity Multiplier

The equity multiplier captures the degree of financial leverage embedded in each institution's capital structure. BAC carries the highest equity multiplier at 11.65x, followed closely by JPM at 11.52x, confirming that money center banks deploy approximately $11.50 to $11.65 of assets per dollar of equity, a leverage level consistent with the capital-intensive, systemically important bank model subject to Basel III regulatory constraints. Truist's equity multiplier of 10.80x makes

it the most leveraged super-regional in the sample, while PNC's 9.80x is the lowest among super-regionals and among the two lowest overall. Community Trust KY (9.74x) and Rockland Trust (9.88x) carry the least leverage in the sample, reflecting relatively conservative capital structures. The juxtaposition of low equity multipliers and high loan-to-deposit ratios at the community tier implies that loan concentration, rather than broad financial leverage, constitutes the primary risk dimension for these institutions.

IV. Revenue Structure & Efficiency (Table 3, 2025)



Revenue Diversification: Net Interest Income vs. Noninterest Income

JPMorgan Chase demonstrates the most diversified revenue structure in the sample, with net interest income of $97.85 billion and noninterest income of $66.24 billion, yielding a noninterest income share of approximately 40.4% of total revenue. This level of fee-based income — spanning investment banking, asset management, trading, and treasury services — reflects JPM's status as the most globally integrated institution in the sample. At the opposite end of the

spectrum, community banks exhibit the greatest NII dependence: Community Trust KY derives approximately 83.2% of revenue from net interest income ($221.4 million NII versus $44.8 million noninterest income), while Rockland Trust similarly shows 82.6% NII dependence ($575.3 million NII versus $120.9 million noninterest income). Among super-regionals, PNC achieves meaningful diversification with $7.78 billion in noninterest income representing approximately 34.0% of total revenue, while Truist remains more NII-dependent at 76.6%. The revenue mix gradient from community to money-center tier reflects the expansion of fee-generating business lines that require both the operational scale and the regulatory infrastructure associated with larger institutions. BAC's reported revenue figures remain anomalous and are excluded from revenue diversification interpretation.

Operational Efficiency: Cost Management Across Tiers

The efficiency ratio, defined as non-interest expense as a proportion of total operating revenue, is an inverse measure of cost management: lower values indicate greater operational efficiency. Community Trust KY records the best efficiency ratio in the sample at 48.45%, meaning it retains more than $0.51 of every revenue dollar after operating expenses. This result is notable for a community-tier institution and reflects the cost discipline inherent in a focused regional banking model with limited investment in complex product platforms or large branch infrastructures. JPM follows at 52.49%, consistent with the efficiency gains achievable through scale in a diversified business model. Truist's ratio of 55.90% positions it mid-range, though post-merger integration costs likely exert upward pressure on this figure. PNC at 57.82% and Rockland Trust at 58.26% are the least operationally efficient among institutions with reliable data, suggesting that neither PNC's scale advantages nor Rockland Trust's community focus have fully translated into cost leadership by 2025. The observation that Community Trust KY leads all

banks in efficiency challenges the assumption that institutional size necessarily confers cost advantages. In this sample, a focused community-banking franchise outperforms on this dimension.

V. Integrated Tier Comparison

Money Center Banks: Scale, Leverage, and Diversification

JPMorgan Chase's financial profile is defined by the broadest revenue diversification in the sample, the lowest loan-to-asset ratio at 37.69%, and a competitive efficiency ratio of 52.49%, supported by a six-year average ROE of 14.10% and an ROA standard deviation of just 0.32%. The combination of high leverage (11.52x equity multiplier), asset diversification, and fee-income breadth yields returns that are both competitive and relatively consistent. BAC's equity multiplier of 11.65x confirms money-center leverage norms, though its revenue data anomalies preclude a substantive performance comparison.

Super-Regional Banks: Conservative Stability vs. Transitional Drag

PNC emerges as the most stable bank in the sample, with the lowest earnings volatility metrics: an ROA standard deviation of 0.11% and an ROE standard deviation of 1.14%, both the lowest in the sample. This stability profile is underpinned by the most conservative equity multiplier among super-regionals at 9.80x and a moderate loan-to-deposit ratio of 73.69%. Truist presents a contrasting super-regional profile: higher loan intensity (59.39% loan-to-asset), greater leverage (10.80x), and elevated ROE volatility (3.27% standard deviation). Truist's average ROE of 9.17% is the second-lowest among non-BAC institutions, reflecting earnings dilution from post-merger integration costs that persisted across portions of the 2020–2025 window.

Community Banks: Efficiency Leadership and Concentration Risk

Community Trust KY presents the strongest risk-adjusted performance profile among community banks and, on several metrics, across the full sample. Its average ROA of 1.48% is the highest among reliable observations, its ROA standard deviation of 0.17% is the second-lowest across all six banks, and its efficiency ratio of 48.45% leads the entire sample. These results confirm that focused community banking operations can generate superior asset returns and cost efficiency relative to larger peers. However, the trade-off is clear: a loan-to-asset ratio of 69.39%, a loan-to-deposit ratio of 79.29%, and an 83.2% NII dependence expose Community Trust KY to concentrated credit risk and interest-rate margin sensitivity. Rockland Trust, while sharing the community model, lags on nearly all performance dimensions, with an average ROE of 8.09%, an efficiency ratio of 58.26%, and a loan-to-deposit ratio of 93.49% that represents the highest funding concentration in the sample. The within-tier divergence between these two community banks underscores that community banking performance is significantly institution-specific and not uniformly defined by tier membership.

VI. Conclusion

Across the 2020 to 2025 analysis period, the six-bank sample reveals a consistent set of structural trade-offs associated with the institutional tier. Money center banks deploy diversified revenue models and elevated financial leverage, with JPM at an 11.52x equity multiplier and a 40.4% noninterest income share, to generate competitive returns with moderate earnings consistency. Super-regional banks occupy an intermediate position: PNC demonstrates that conservative leverage (9.80x) and disciplined cost management can produce the most stable earnings profile in the sample, while Truist's transitional volatility reflects the costs of large-scale

post-merger integration. Community banks exhibit the sharpest internal divergence, with Community Trust KY achieving the highest average ROA (1.48%) and best efficiency ratio (48.45%) in the sample, while Rockland Trust records the weakest ROE (8.09%) and highest loan-to-deposit ratio (93.49%).

The strongest performer by stability-adjusted profitability is Community Trust KY, which combines above-average returns with low earnings volatility and industry-leading cost efficiency. The highest-leverage institutions are BAC at 11.65x and JPM at 11.52x. The most diversified revenue model belongs to JPM, with $66.24 billion in noninterest income representing 40.4% of 2025 total revenue. Forward-looking interpretation is appropriately constrained by the dataset's terminal year. The data does support the conclusion that community banks with disciplined credit cultures and lean cost structures can sustain profitability metrics competitive with significantly larger institutions, though their concentrated lending models and limited revenue diversification represent structural vulnerabilities that warrant ongoing monitoring as credit cycle conditions and interest rate environments evolve.

Data Integrity Statement

All quantitative claims in this report are based solely on the three structured datasets provided for this analysis: Table 1 (Six-Year Profitability & Stability), Table 2 (Risk & Leverage Snapshot, 2025), and Table 3 (Revenue Structure, 2025). No values have been estimated, interpolated, extrapolated, or taken from external databases. Where data anomalies were observed, specifically Bank of America’s revenue figures in Table 3, they were clearly flagged and excluded from comparative analysis. Metrics for which data were unavailable, including 2020 baseline asset

levels, five-year growth trends, market capitalization, and book value figures, were identified as missing rather than approximated.

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